

MANAGING DIRECTOR'S REVIEW

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Sumith Adhihetty
Managing Director

Financial Year 2024/25 was a period of landmark achievement for LB Finance PLC. Despite navigating a dynamic and intensely competitive landscape, marked by significant economic shifts and industry-wide pressures, we delivered outstanding results. Our strategic foresight, operational agility, and the exceptional resilience and unwavering commitment of our dedicated team were key drivers in successfully meeting our performance budget and achieving the highest profit in the Company's history. This record performance not only overcame significant headwinds but also solidifies a robust foundation for sustained future growth.

MANAGING DIRECTOR'S REVIEW - DIGITAL VERSIONS



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In English

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In Sinhala

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In Tamil

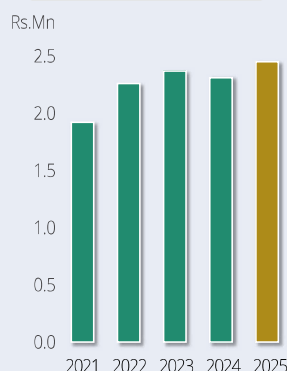


English
AUDIO 09

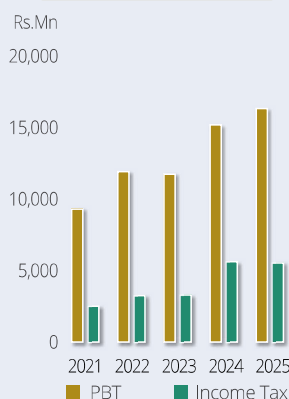
Sinhala
AUDIO 10

Tamil
AUDIO 11

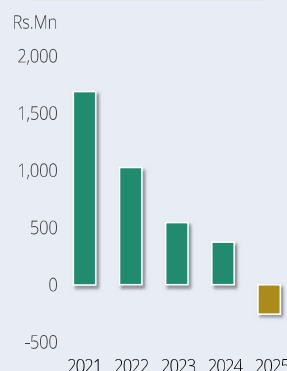
Profit per Employee



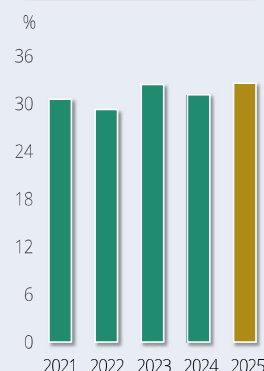
PBT and Income Tax



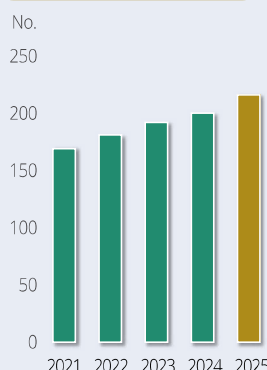
Impairment Charge/ (Reversals)



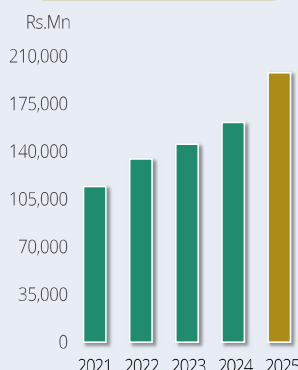
Cost to Income Ratio



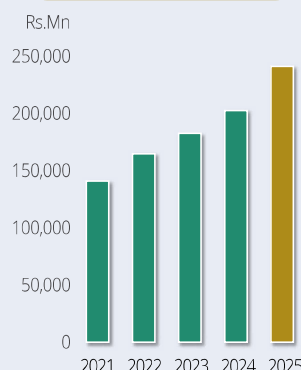
Total Branches



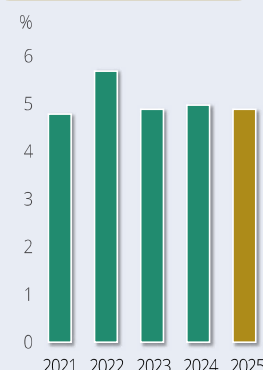
Loans and Receivables



Total Assets



Return on Assets (ROA)



EXCEPTIONAL FINANCIAL PERFORMANCE

Reflecting this outstanding performance and continued positive momentum, our Operating Profit Before Taxes for FY 2024/25 increased by 9.06% YoY, to Rs. 20.51 billion. This strong bottom-line performance was fundamentally driven by robust Pre-Tax Profit growth, resulting from: proactive management of our net interest margin through timely repricing of interest-sensitive assets and liabilities; disciplined control of operating expenses, maintained at optimal levels via effective cost optimisation programmes; and a significantly reduced credit loss provisioning impact, reflecting both stringent quality credit granting and robust recovery procedures.

Our Net Interest Income grew by 3.19% YoY to Rs. 25.12 billion in FY 2024/25. While Interest Income decreased by 8.56% to Rs. 41.81 billion, primarily driven by the market interest rate cycle leading to asset repricing and strategic portfolio adjustments. Our effective management of funding costs resulted in a substantial 21.95% reduction in Interest Expense, from Rs. 21.37 billion to Rs. 16.68 billion.

STRENGTHENED ASSET QUALITY AND BALANCE SHEET

A significant factor in our exceptional results was the substantial improvement in asset quality. We successfully transitioned from an impairment charge of Rs. 373.23 million in FY 2023/24 to a net impairment

reversal of Rs. 256.23 million in FY 2024/25. This pivotal shift, representing an improvement of over 168%, is a direct consequence of our proactive strategy to enhance asset quality and our vigilant management of credit risk throughout the year. Furthermore, diligent credit monitoring, coupled with efficient recovery procedures, significantly lowered our level of non-performing advances (NPA). This focus is reflected in our NPL ratios: a low gross NPL ratio of 2.25% and, notably, a negative net NPL ratio of -1.22%.

Our balance sheet reflected this strong performance and strategic focus on growth. Total assets reached Rs. 240.89 billion as of 31 March 2025, compared to Rs. 202.17

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billion as of 31 March 2024, representing a YoY increase of 19.15%. This expansion underscores the growth of our operations. Crucially, interest-earning assets constituted a substantial 93.35% of total assets (a slight increase from 92.25%), highlighting our strategic focus on deploying capital effectively into income-generating activities. Within this, Loans and Receivables recorded exceptional growth, increasing by 22.61% YoY, from Rs. 161.29 billion to Rs. 197.76 billion, driving asset expansion and future income potential.

STRATEGIC RESPONSE AND OPERATIONAL EXCELLENCE

Navigating the competitive and evolving landscape required a proactive and disciplined approach. We prioritised staff recruitment and training, dedicating the highest budget and focus to these areas, which helped us recover from earlier staffing challenges and significantly benefited us in the latter half of the year. We strategically leveraged our technology, extensive network, and human resources to maintain our competitive edge. Our resilience is reliant on a sound credit policy coupled with a sound pricing mechanism; these two factors are central to our entire business model, and healthy cash flows subsequently improve our funding mix. Having successfully navigated multiple crises since 2019, the foundation we have laid out is strong and proven.

We continued to invest heavily in IT development and digitalisation. Our IT department now comprises approximately 5% of our total staff, reflecting this significant investment. We are proud of the LB CIM app, recognised as the most popular payment app among banks and financial institutions, at the Technnovation awards 2024. We are well-set with our network, people, reach, and technology to seize future opportunities, including potential growth stemming from the relaxation of vehicle import restrictions, which could significantly grow our main business line. We continuously studied competitors and targeted segments strategically.

HUMAN CAPITAL DEVELOPMENT

Our people are our most valuable asset and the engine of our success. We are deeply committed to fostering a culture of non-discrimination across race, religion, and gender, ensuring performance is based solely on merit. Moreover, we promote and develop female staff, evidenced by female branch managers and a dedicated female credit team. We have intentionally created new opportunities for female staff, enabling them to earn more and engage directly with customers in the field. Furthermore, we maintain a robust internal career progression path, giving preference to internal staff for leadership roles and transfers, ensuring that talent can ascend the ladder based on merit. Good performance is rewarded quarterly, with a significant proportion of rewarded staff consistently being female, demonstrating their strong contribution. Currently, females constitute 47% of our total staff. We remain committed to upholding our culture and social values across the network.

COMMUNITY AND SOCIAL IMPACT

We believe that a thriving economy is built on equal access to financial opportunities. At LBF, we have taken significant steps to bridge financial gaps by providing crucial financial backing to rural communities, small businesses, and emerging entrepreneurs, facilitating their growth and success. Our commitment is to reach every Sri Lankan with essential financial services. In 2024/25, we demonstrated this commitment by launching 10 new branches, including 3 strategically placed in North and East areas, extending affordable and reliable access to those population. Recognising the vital link between community well-being and our long-term success, we focused on uplifting marginalised areas, with a specific emphasis on rural communities. Extending beyond financial inclusion, our community development efforts support initiatives in key areas including child health and well-being, education, and entrepreneurship empowerment. By championing youth and women empowerment, literacy, and skills development, we are paving the way for a more sustainable and inclusive future for all.

GOVERNANCE AND COMPLIANCE

We continue to uphold the highest standards of corporate governance and compliance, recognising them as fundamental to long-term sustainability and stakeholder trust. We continuously strengthen our corporate governance and risk management frameworks, upholding high standards of transparency and integrity. As the highest taxpayer in the NBF sector, we are proud of our significant contribution to the national economy. Our tax liability reached a substantial Rs. 12.65 billion in 2024/25, demonstrating our commitment to fiscal responsibility. Our proactive adoption of industry best practices and voluntary compliance with standards beyond regulatory requirements underscore our dedication to ethical and responsible operations. Moreover, we nurture a resilient and reliable business partner network through rigorous supplier assessment, clear procurement guidelines, and continuous engagement, building transparent, long-term relationships aligned with our governance and sustainability standards. Ongoing monitoring and collaboration ensure early identification and prompt mitigation of emerging risks, safeguarding operational continuity and mutual trust.

ENVIRONMENTAL STEWARDSHIP AND SUSTAINABILITY

Sustainability is a dynamic, driving force an organisation-wide commitment that transcends mere compliance or reporting; it is intrinsically woven into how we operate, innovate, and grow. This year, we have intensified our focus on embedding sustainable outcomes throughout every level of the business from pioneering responsible financial solutions and driving digital innovation to fostering employee development and deepening community engagement. These achievements are a testament to robust collaboration across all departments and a shared conviction that sustainability is fundamental to our long-term success and resilience. To drive sustainability, we have established a specialised sustainability unit to strategically oversee our comprehensive agenda,